

Discharge / Reconveyance Deed Guide

This guide explains the purpose, process, required documents, and legal compliance involved in executing a Discharge Deed or Reconveyance Deed in India after closure of a home loan, mortgage, or secured financial obligation.

1. What is a Discharge / Reconveyance Deed?

- A Discharge Deed or Reconveyance Deed is a legal document executed by the lender after full repayment of a loan.
- It confirms that the mortgage or charge on the property has been released.
- The property ownership becomes free from encumbrance related to the loan.

2. Common Situations Where It Is Required

- Closure of a home loan.
- Repayment of mortgage loans.
- Settlement of secured business loans.
- Removal of bank charge from property records.

3. Documents Required

- Original loan closure letter or No Dues Certificate (NOC) from lender.
- Original mortgage deed or loan agreement.
- Identity proof of borrower and lender representative.
- Property ownership documents.
- PAN card and address proof.
- Recent property tax receipts (if applicable).

4. Execution Process

- Obtain loan closure confirmation from the bank or financial institution.
- Prepare the Discharge / Reconveyance Deed.
- Ensure property details and loan references are correctly mentioned.
- The authorized bank representative signs the deed.
- Witness signatures may be required.

5. Registration Process

- Visit the jurisdictional Sub-Registrar Office.
- Submit the signed deed along with supporting documents.
- Pay applicable stamp duty and registration charges.
- Complete biometric and verification formalities if required.

- Collect the registered document after processing.

6. Stamp Duty and Charges

- Stamp duty rates vary by Indian state.
- Nominal duty may apply in certain states for discharge deeds.
- Registration fees are payable separately.
- Delays in registration may create future title complications.

7. Importance of Registration

- Registration formally removes the lender's charge on the property.
- It helps update government land and property records.
- Future property sale or transfer becomes smoother.
- Banks and buyers may require proof of reconveyance.

8. Common Mistakes to Avoid

- Not collecting original title documents from the lender.
- Failure to register the discharge deed.
- Incorrect property or loan details in the deed.
- Ignoring updated encumbrance verification.
- Misplacing loan closure certificates.

9. Practical Tips

- Request an updated Encumbrance Certificate after registration.
- Maintain scanned copies of all loan closure documents.
- Verify bank representative authorization before execution.
- Consult a legal professional for high-value properties.

Quick Reference Checklist

Requirement	Status
Loan Fully Closed	■
No Dues Certificate Obtained	■
Original Property Documents Collected	■
Discharge / Reconveyance Deed Drafted	■
Stamp Duty Paid	■
Registration Completed	■
Updated Encumbrance Certificate Obtained	■

Disclaimer: This document is for informational purposes only and does not constitute legal advice. Registration procedures, stamp duty, and documentation requirements vary across Indian states. Consult a qualified legal professional or local Sub-Registrar Office for transaction-specific guidance.